

## 5-1a The Price Elasticity of Demand and Its Determinants

The law of demand states that a fall in the price of a good raises the quantity demanded.

The

**price elasticity of demand** (a measure of how much the quantity demanded of a good responds to a change in the price of that good, computed as the percentage change in quantity demanded divided by the percentage change in price)

measures how much the quantity demanded responds to a change in price. Demand for a good is said to be *elastic* if the quantity demanded responds substantially to changes in the price. Demand is said to be *inelastic* if the quantity demanded responds only slightly to changes in the price.

The price elasticity of demand for any good measures how willing consumers are to buy less of the good as its price rises. Because a demand curve reflects the many economic, social, and psychological forces that shape consumer preferences, there is no simple, universal rule for what determines a demand curve's elasticity. Based on experience, however, we can state some rules of thumb about what influences the price elasticity of demand.

### Availability of Close Substitutes

A good with close substitutes tends to have more elastic demand because it is easier for consumers to switch from that good to others. For example, butter and margarine are easily substitutable. A small increase in the price of butter, assuming the price of margarine is held fixed, causes the quantity of butter sold to fall by a large amount. By contrast, because eggs are a food without a close substitute, the demand for eggs is less elastic than the demand for butter. A small increase in the price of eggs does not cause a sizable drop in the quantity of eggs sold.

### Necessities versus Luxuries

Necessities tend to have inelastic demands, whereas luxuries have elastic demands. When the price of a doctor's visit rises, people do not dramatically reduce the number of times they go to the doctor, although they might go somewhat less often. By contrast, when the price of sailboats rises, the quantity of sailboats demanded falls substantially. The reason is that most people view doctor visits as a necessity and sailboats as a luxury. Whether a good is a necessity or a luxury depends not on the good's intrinsic properties but on the buyer's preferences. For avid sailors with little concern about their health, sailboats might be a necessity with inelastic demand and doctor visits a luxury with elastic demand.

### Definition of the Market

The elasticity of demand in any market depends on how we draw the boundaries of the market. Narrowly defined markets tend to have more elastic demand than broadly defined markets because it is easier to find close substitutes for narrowly defined goods. For example, food, a broad category, has a fairly inelastic demand because there are no good substitutes for food. Ice cream, a narrow category, has a more elastic demand because it is easy to substitute other desserts for ice cream. Vanilla ice cream, an even narrower category, has a very elastic demand because other flavors of ice cream are almost perfect substitutes for vanilla.

### **Time Horizon**

Goods tend to have more elastic demand over longer time horizons. When the price of gasoline rises, the quantity of gasoline demanded falls only slightly in the first few months. Over time, however, people buy more fuel-efficient cars, switch to public transportation, and move closer to where they work. Within several years, the quantity of gasoline demanded falls more substantially.

Chapter 5: Elasticity and Its Application: 5-1a The Price Elasticity of Demand and Its Determinants

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